

The cost-cut ultimatum

Format: work the numbers, then choose • Time: 10 minutes • Answer in the chat

Recap. The acceptance bar comes from what a wrong answer costs, per slice. When a model is below the bar, you have three moves: improve the model (slow), lower the damage with a hold (this week), or narrow the scope and ship the slices that already clear their bar.

rights per wrong = cost of a wrong answer / saving of a right answer

the bar = 1 - 1 / (rights per wrong + 1)

THE THREE SLICES, MEASURED

Same route	96% correct	5,400 cases	Reprice	89% correct	2,700 cases	Codeshare	71% correct	900 cases
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The situation

The **codeshare-rebooking agent** is built. It reissues tickets across partner airlines. One right answer saves \$8 of handling; one wrong answer costs \$32 (a wrong reissue, a refund, a service credit). The model measures at **84% overall** across three slices, shown above. Engineering says it is not accurate enough and wants three months to retrain. The quarter closes in three weeks. You need a decision.

THE SITUATION

Rebooking agent • model at 84% overall, engineering wants 3 more months

IMPROVE THE MODEL

Retrain on more data

3 months, an ML team

The bar does not move

slow, and it is the only option engineering named

LOWER THE DAMAGE

Add a hold on the paid reissue

a person approves before charge

wrong now costs \$8 not \$32

a product decision you make this week

NARROW THE SCOPE

Ship the two easy slices now

hold the hard codeshare slice

each slice gets its own bar

ship value now, finish the hard part later

Work it out. The bar with no hold: $\$32 \div \$8 = 4$ rights per wrong, so bar = $1 - 1/5 = 80\%$.
Check each slice against 80%. Then decide.

B1. Against the 80% bar, which slices clear it?

- ☐ a All three
- ☐ b Same route and Reprice; Codeshare fails
- ☐ c Only Same route
- ☐ d None, because the overall 84% is below 90%

B2. Engineering's plan is to retrain for three months. What does that do to the bar?

- ☐ e Lowers the bar to something the model can hit
- ☐ f Nothing. Retraining changes the model, not the cost of a wrong answer
- ☐ g Raises the bar, because expectations rise
- ☐ h Removes the need for a bar entirely

B3. You add a hold: a person approves any codeshare reissue before it is charged, so a wrong answer costs only the \$8 of wasted handling. What is the codeshare slice's new bar, and does 71% clear it?

- ☐ i New bar 50%, and 71% clears it
- ☐ j New bar 50%, and 71% still fails
- ☐ k New bar 75%, and 71% fails
- ☐ l The bar is unchanged, a hold does not affect it

B4. What do you decide, to ship value this quarter?

- ☐ m Wait three months for the retrain, as engineering asked
- ☐ n Ship Same route and Reprice now; put a hold on Codeshare so it ships too
- ☐ o Ship all three now at 84%, the average is fine
- ☐ p Lower the bar to 71% so everything qualifies

How to answer. Type all four with the letters you choose, for example B1-a B2-e B3-k B4-m .